

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**DIRECTORS' STATEMENT  
AND FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31 MARCH 2025**

***NLA DFK ASSURANCE PAC***  
*Chartered Accountants*  
*Singapore*

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**DIRECTORS' STATEMENT  
AND FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31 MARCH 2025**

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**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Directors' statement**  
for the financial year ended 31 March 2025

The directors are pleased to present their statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd (the Company) for the financial year ended 31 March 2025.

**1. Opinion of the directors**

In the opinion of the directors,

- (a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2025 and the financial performance, changes in equity and cash flows of the Company for the year then ended; and
- (b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

**2. Directors**

The directors of the Company in office at the date of this statement are:

Sonu Radhakrishnan Nair  
Pradeep Kizhakkethil (Appointed on 16 May 2025)

**3. Arrangements to enable directors to acquire shares or debentures**

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects in, is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

**4. Directors' interests in shares or debentures**

According to the register of directors' shareholdings kept by the Company under section 164 of the Companies Act 1967 (the Act), the directors of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company and its related corporations.

**5. Share options**

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Directors' statement (continued)**  
for the financial year ended 31 March 2025

**6. Auditor**

NLA DFK Assurance PAC has expressed its willingness to accept re-appointment as auditor.

**The Board of Directors**



.....  
**Sonu Radhakrishnan Nair**  
Director



.....  
**Pradeep Kizhakkethil**  
Director

**15 JUL 2025**

**Independent auditor's report to the member of  
MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Report on the Audit of the Financial Statements**

*Opinion*

We have audited the financial statements of Mindteck Singapore Pte Ltd (the Company), which comprise the statement of financial position as at 31 March 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 March 2025 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

*Basis for Opinion*

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Other Information*

Management is responsible for the other information. The other information comprises the Directors' Statement as set out on pages 1 to 2.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

**Independent auditor's report to the member of  
MINDTECK SINGAPORE PTE LTD (continued)**  
Company Registration No. 199904845D

**Report on the Audit of the Financial Statements (continued)**

*Responsibilities of Management and Directors for the Financial Statements*

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSS, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

*Auditor's Responsibilities for the Audit of the Financial Statements*

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

# NLA DFK ASSURANCE PAC

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**Independent auditor's report to the member of  
MINDTECK SINGAPORE PTE LTD (continued)**  
Company Registration No. 199904845D

## **Report on the Audit of the Financial Statements (continued)**

### *Auditor's Responsibilities for the Audit of the Financial Statements (continued)*

- (d) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- (e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

## **Report on Other Legal and Regulatory Requirements**

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.



Public Accountants and  
Chartered Accountants  
Singapore

15 July 2025

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Statement of financial position**  
as at 31 March 2025

|                                     | Note | 2025<br>S\$      | 2024<br>S\$      |
|-------------------------------------|------|------------------|------------------|
| <b>ASSETS</b>                       |      |                  |                  |
| <b>Current assets</b>               |      |                  |                  |
| Cash and bank balances              |      | 2,350,349        | 2,053,150        |
| Trade and other receivables         | 4    | 1,805,111        | 1,698,899        |
| Prepayments                         |      | 29,706           | 40,626           |
| Amount due from related parties     | 5    | 221,984          | 89,515           |
|                                     |      | <u>4,407,150</u> | <u>3,882,190</u> |
| <b>Non-current assets</b>           |      |                  |                  |
| Plant and equipment                 | 6    | <u>5,080</u>     | <u>5,818</u>     |
| <b>Total assets</b>                 |      | <u>4,412,230</u> | <u>3,888,008</u> |
| <b>LIABILITIES AND EQUITY</b>       |      |                  |                  |
| <b>Current liabilities</b>          |      |                  |                  |
| Other payables and accruals         | 7    | 1,076,904        | 870,402          |
| Amount due to related parties       | 8    | 137,079          | 136,999          |
| Income tax payable                  |      | 136,549          | 156,018          |
|                                     |      | <u>1,350,532</u> | <u>1,163,419</u> |
| <b>Equity</b>                       |      |                  |                  |
| Share capital                       | 9    | 1,310,500        | 1,310,500        |
| Retained earnings                   |      | <u>1,751,198</u> | <u>1,414,089</u> |
| Total equity                        |      | <u>3,061,698</u> | <u>2,724,589</u> |
| <b>Total liabilities and equity</b> |      | <u>4,412,230</u> | <u>3,888,008</u> |

The accompanying notes form an integral part of these financial statements.



**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Statement of comprehensive income**  
for the financial year ended 31 March 2025

|                                                                                                          | Note | 2025<br>S\$        | 2024<br>S\$        |
|----------------------------------------------------------------------------------------------------------|------|--------------------|--------------------|
| Revenue                                                                                                  | 10   | 7,950,054          | 7,292,917          |
| Cost of service                                                                                          |      | <u>(6,599,673)</u> | <u>(6,063,060)</u> |
| Gross profit                                                                                             |      | 1,350,381          | 1,229,857          |
| Other income                                                                                             | 11   | 34,144             | 17,080             |
| Administrative expenses                                                                                  |      | (973,402)          | (721,310)          |
| Other expenses                                                                                           |      | <u>(3,765)</u>     | <u>(1,829)</u>     |
| <b>Profit before income tax</b>                                                                          | 12   | 407,358            | 523,798            |
| Income tax expense                                                                                       | 13   | <u>(70,249)</u>    | <u>(49,609)</u>    |
| <b>Profit for the financial year, representing total<br/>comprehensive income for the financial year</b> |      | <u>337,109</u>     | <u>474,189</u>     |

The accompanying notes form an integral part of these financial statements.

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Statements of changes in equity**  
for the financial year ended 31 March 2025

|                                                   | Share<br>capital<br>S\$ | Retained<br>earnings<br>S\$ | Total<br>S\$ |
|---------------------------------------------------|-------------------------|-----------------------------|--------------|
| At 1 April 2024                                   | 1,310,500               | 1,414,089                   | 2,724,589    |
| Total comprehensive income for the financial year | -                       | 337,109                     | 337,109      |
| At 31 March 2025                                  | 1,310,500               | 1,751,198                   | 3,061,698    |
| At 1 April 2023                                   | 1,310,500               | 939,900                     | 2,250,400    |
| Total comprehensive income for the financial year | -                       | 474,189                     | 474,189      |
| At 31 March 2024                                  | 1,310,500               | 1,414,089                   | 2,724,589    |

The accompanying notes form an integral part of these financial statements.

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Statement of cash flows**  
for the financial year ended 31 March 2025

|                                                                                          | Note | 2025<br>S\$ | 2024<br>S\$ |
|------------------------------------------------------------------------------------------|------|-------------|-------------|
| <b>Cash flows from operating activities</b>                                              |      |             |             |
| Profit before income tax                                                                 |      | 407,358     | 523,798     |
| Adjustments for:                                                                         |      |             |             |
| Depreciation of plant and equipment                                                      | 6    | 3,765       | 1,829       |
| Operating cash flows before changes in working capital                                   |      | 411,123     | 525,627     |
| Changes in working capital:                                                              |      |             |             |
| Trade and other receivables                                                              |      | (106,212)   | (133,612)   |
| Prepayment                                                                               |      | 10,920      | (29,389)    |
| Other payables and accruals                                                              |      | 206,502     | 18,827      |
| Amount due to related parties                                                            |      | 80          | 57,708      |
| Cash generated from operations                                                           |      | 522,413     | 439,161     |
| Income tax (paid)/refund                                                                 |      | (89,718)    | 15,391      |
| Net cash from operating activities                                                       |      | 432,695     | 454,552     |
| <b>Cash flows from investing activity</b>                                                |      |             |             |
| Purchase of plant and equipment, representing net cash used in investing activity        | 6    | (3,027)     | (5,525)     |
| <b>Cash flows from financing activity</b>                                                |      |             |             |
| Amount due from related parties, representing net cash (used in)/from financing activity |      | (132,469)   | 150,991     |
| Net increase in cash and cash equivalents                                                |      | 297,199     | 600,018     |
| Cash and cash equivalents at beginning of financial year                                 |      | 2,053,150   | 1,453,132   |
| Cash and cash equivalents, representing cash and bank balances at end of financial year  |      | 2,350,349   | 2,053,150   |

The accompanying notes form an integral part of these financial statements.

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Notes to the financial statements**  
for the financial year ended 31 March 2025

These notes form an integral part and should be read in conjunction with the accompanying financial statements.

**1. General**

Mindteck Singapore Pte Ltd (the Company) is a limited liability company incorporated and domiciled in the Republic of Singapore. The registered office and principal place of business is located at 7B Keppel Road, #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals.

The Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company domiciled and incorporated in India, which is also listed in the Bombay Stock Exchange.

**2. Material accounting policy information**

**2.1 Basis of preparation**

The financial statements of the Company have been drawn up in accordance with the Financial Reporting Standards in Singapore (FRS). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore dollar (S\$) which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

**2.2 Adoption of new and amended standards and interpretations**

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial period beginning on or after 1 April 2024. The adoption of these standards did not have any material effect on the financial statements of the Company.

**2.3 Standards issued but not yet effective**

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these financial statements.

The directors expect that the adoption of these new and amended standards will have no material impact on the financial statements in the year of initial application.

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.4 Foreign currencies transactions and balances**

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchanges differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

**2.5 Financial instruments**

**(a) Financial assets**

*Initial recognition and measurement*

Financial assets are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

*Subsequent measurement*

**Debt Instruments**

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debt instruments are amortised cost, fair value through other comprehensive income (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.5 Financial instruments (continued)**

**(a) Financial assets (continued)**

*Subsequent measurement (continued)*

**Debt Instruments (continued)**

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

*Derecognition*

A financial asset is derecognised when the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

**(b) Financial liabilities**

*Initial recognition and measurement*

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

*Subsequent measurement*

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

*Derecognition*

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amount and the consideration paid is recognised in profit or loss.

**MINDTECK SINGAPORE PTE LTD**  
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**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.5 Financial instruments (continued)**

**(c) Offsetting of financial instruments**

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when there is a legally enforceable right to offset and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

**2.6 Impairment of financial assets**

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss and financial guarantee contracts. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at the end of each reporting period. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

**2.7 Plant and equipment**

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. The cost of property, plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.7 Plant and equipment (continued)**

Depreciation is calculated using the straight-line method to allocate depreciable amounts over their estimated useful lives. The estimated useful lives are as follows:

|                        | <u>Useful lives</u> |
|------------------------|---------------------|
| Computers and software | 3 years             |
| Furniture and fittings | 3 years             |
| Office equipment       | 5 years             |
| Renovation             | 2 years             |

The residual values, useful lives and depreciation method are reviewed at least at the end of each financial period, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the assets is included in profit or loss in the year the asset is derecognised.

**2.8 Impairment of non-financial assets**

The Company assesses at the end of each reporting period whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.



**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.9 Provisions**

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

**2.10 Share capital**

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

**2.11 Cash and cash equivalents**

Cash and cash equivalents comprise cash in bank which are subject to insignificant risk of changes in value.

**2.12 Revenue**

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

**(a) Rendering of services**

Revenue arising from the placement of temporary or contract term, is recognised at the point in time that temporary workers are provided. Where the Company is acting as a principal, turnover represents the amounts billed for the services of the temporary workers, including the remuneration costs of the temporary workers. The commission included which the revenue recognised arising from temporary placements is typically based on a percentage of the placements hourly rate.

**MINDTECK SINGAPORE PTE LTD**  
Company Registration No. 199904845D

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.13 Employee benefits**

**(a) Short-term employee benefits**

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

**(b) Defined contribution plans**

The Company makes contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

**2.14 Government grants**

Government grants are recognised as a receivable when there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, the fair value is recognised as deferred income on the statement of financial position and is recognised as income in equal amounts over the expected useful life of the related asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as additional government grant.

**MINDTECK SINGAPORE PTE LTD**  
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**Notes to the financial statements**  
for the financial year ended 31 March 2025

**2. Material accounting policy information (continued)**

**2.15 Leases**

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

*As lessee*

The Company applied a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities representing the obligation to make lease payments and right-of-use assets representing the right to use the underlying leased assets.

**(a) Right-of-use assets**

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. The accounting policy for impairment is disclosed in Note 2.8.

The Company's right-of-use assets are presented as a separate line item on the statement of financial position.

**(b) Lease liabilities**

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivables, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expense in the period in which the event or condition that triggers the payment occurs.

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**Notes to the financial statements**  
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**2. Material accounting policy information (continued)**

**2.15 Leases (continued)**

**(b) Lease liabilities (continued)**

In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payment) or a change in the assessment to purchase the underlying asset.

The Company's lease liabilities are presented as a separate line item on the statement of financial position.

**(c) Short-term leases and leases of low-value assets**

The Company applies the short-term lease recognition exemption to its short-term leases of machinery (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

**2.16 Taxes**

**(a) Current income tax**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

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**2. Material accounting policy information (continued)**

**2.16 Taxes (continued)**

**(b) Deferred tax**

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

**(c) Goods and Services Tax (GST)**

Revenues, expenses and assets are recognised net of the amount of GST except:

- (i) Where the GST incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the GST is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- (ii) Receivables and payables that are stated with the amount of GST included.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

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**2. Material accounting policy information (continued)**

**2.17 Related parties**

A related party is defined as follows:

- (a) A person or a close member of that person's family is related to the Company if that person:
  - (i) Has control or joint control over the Company;
  - (ii) Has significant influence over the Company; or
  - (iii) Is a member of the key management personnel of the Company or of a parent of the Company.
  
- (b) An entity is related to the Company if any of the following conditions applies:
  - (i) The entity and the Company are member of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
  - (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
  - (iii) Both entities are joint ventures of the same third party.
  - (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
  - (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company.
  - (vi) The entity is controlled or jointly controlled by a person identified in (a).
  - (vii) A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
  - (viii) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

**Notes to the financial statements**  
for the financial year ended 31 March 2025

**3. Significant accounting judgements and estimates**

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

**3.1 Judgements made in applying accounting policies**

The management is of the opinion that there are no significant judgements made in applying the accounting policies that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

**3.2 Key sources of estimation uncertainty**

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

**(a) Provision for expected credit losses of trade and other receivables**

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At the end of every reporting period, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade and other receivables is disclosed in Note 16 (a).

The carrying amount of the trade and other receivables as at reporting date is disclosed in Note 4.

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**4. Trade and other receivables**

|                                            | 2025<br>S\$      | 2024<br>S\$      |
|--------------------------------------------|------------------|------------------|
| Trade receivables:                         |                  |                  |
| - Third parties                            | 1,663,270        | 1,491,472        |
| Less: Allowance for expected credit losses | (5,552)          | (5,552)          |
|                                            | 1,657,718        | 1,485,920        |
| Unbilled revenue                           | 78,222           | 171,782          |
| Other receivables                          | 12,327           | 3,354            |
| Deposits                                   | 11,141           | 11,031           |
| GST receivables                            | 45,703           | 26,812           |
|                                            | <u>1,805,111</u> | <u>1,698,899</u> |

Trade receivables are non-interest bearing and are generally on 30 - 90 days' (2024: 30 - 90 days') terms.

Unbilled revenue amounted to S\$78,222 (2024: S\$171,782) pertains to receivable for services completed but invoices are not yet issued as at the reporting date.

The movement in allowance for expected credit losses (ECL) of trade receivables computed based on lifetime ECL was as follows:

|                  | Lifetime<br>ECL<br>(Not credit-<br>impaired)<br>S\$ |
|------------------|-----------------------------------------------------|
| At 1 April 2024  | (5,552)                                             |
| Allowance made   | -                                                   |
| At 31 March 2025 | <u>(5,552)</u>                                      |
| At 1 April 2023  | -                                                   |
| Allowance made   | (5,552)                                             |
| At 31 March 2024 | <u>(5,552)</u>                                      |

**5. Amount due from related parties**

Amount due from related parties are trade in nature, unsecured, non-interest bearing and recoverable on demand.



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**Notes to the financial statements**  
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**6. Plant and equipment**

|                                 | Computer and<br>software<br>S\$ | Furniture and<br>fittings<br>S\$ | Office<br>equipment<br>S\$ | Renovation<br>S\$ | Total<br>S\$ |
|---------------------------------|---------------------------------|----------------------------------|----------------------------|-------------------|--------------|
| <u>Cost</u>                     |                                 |                                  |                            |                   |              |
| At 1 April 2023                 | 175,374                         | 6,744                            | 21,510                     | 26,415            | 230,043      |
| Additions                       | 5,525                           | -                                | -                          | -                 | 5,525        |
| At 31 March 2024                | 180,899                         | 6,744                            | 21,510                     | 26,415            | 235,568      |
| At 1 April 2024                 | 180,899                         | 6,744                            | 21,510                     | 26,415            | 235,568      |
| Additions                       | 2,567                           | -                                | 460                        | -                 | 3,027        |
| At 31 March 2025                | 183,466                         | 6,744                            | 21,970                     | 26,415            | 238,595      |
| <u>Accumulated depreciation</u> |                                 |                                  |                            |                   |              |
| At 1 April 2023                 | 173,252                         | 6,744                            | 21,510                     | 26,415            | 227,921      |
| Depreciation charge             | 1,829                           | -                                | -                          | -                 | 1,829        |
| At 31 March 2024                | 175,081                         | 6,744                            | 21,510                     | 26,415            | 229,750      |
| At 1 April 2024                 | 175,081                         | 6,744                            | 21,510                     | 26,415            | 229,750      |
| Depreciation charge             | 3,709                           | -                                | 56                         | -                 | 3,765        |
| At 31 March 2025                | 178,790                         | 6,744                            | 21,566                     | 26,415            | 233,515      |
| <u>Carrying amount</u>          |                                 |                                  |                            |                   |              |
| At 31 March 2024                | 5,818                           | -                                | -                          | -                 | 5,818        |
| At 31 March 2025                | 4,676                           | -                                | 404                        | -                 | 5,080        |

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**Notes to the financial statements**  
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**7. Other payables and accruals**

|                            | 2025<br>S\$      | 2024<br>S\$    |
|----------------------------|------------------|----------------|
| Other payables             | 805              | 6,813          |
| Deferred revenue           | 187,583          | 80,581         |
|                            | 188,388          | 87,394         |
| Accrued operating expenses | 219,530          | 604,684        |
| GST payable                | 668,986          | 178,324        |
|                            | <u>1,076,904</u> | <u>870,402</u> |

**8. Amount due to related parties**

|       | 2025<br>S\$    | 2024<br>S\$    |
|-------|----------------|----------------|
| Trade | <u>137,079</u> | <u>136,999</u> |

Amount due to related parties are unsecured, non-interest bearing and repayable on demand:

**9. Share capital**

|                                             | 2025<br>S\$      | 2024<br>S\$      |
|---------------------------------------------|------------------|------------------|
| <u>Issued and fully paid</u>                |                  |                  |
| 1,310,500 (2024: 1,310,500) ordinary shares |                  |                  |
| at beginning and end of financial year      | <u>1,310,500</u> | <u>1,310,500</u> |

The holders of the ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

**10. Revenue**

|                                     | 2025<br>S\$      | 2024<br>S\$      |
|-------------------------------------|------------------|------------------|
| Consultancy services, point in time | <u>7,950,054</u> | <u>7,292,917</u> |

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**11. Other income**

|                   | 2025<br>S\$   | 2024<br>S\$   |
|-------------------|---------------|---------------|
| Government grants | 23,611        | 9,231         |
| Others            | 10,533        | 7,849         |
|                   | <u>34,144</u> | <u>17,080</u> |

**12. Profit before income tax**

This is determined after charging the following:

|                                                     | 2025<br>S\$   | 2024<br>S\$   |
|-----------------------------------------------------|---------------|---------------|
| Consultancy charges                                 | 2,480,687     | 2,269,217     |
| Consultants' salaries and CPF                       | 4,092,162     | 3,750,460     |
| Project supplies                                    | 26,824        | 43,383        |
| Telephone Expense                                   | 8,895         | 6,327         |
| Depreciation of plant and equipment (Note 6)        | 3,765         | 1,829         |
| Employee benefits expense                           |               |               |
| - Salaries, bonus and other short-term benefits     | 782,473       | 515,150       |
| - Employer's contribution to Central Provident Fund | 63,285        | 33,436        |
|                                                     | 845,758       | 548,586       |
| Loss on foreign exchange, net                       | 67,359        | 38,685        |
| Office rental (Short-term)                          | <u>35,052</u> | <u>35,052</u> |

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**13. Income tax expense**

The major components of income tax expense recognised in profit or loss for the financial years ended 31 March 2025 and 31 March 2024 were:

|                          | 2025<br>S\$   | 2024<br>S\$   |
|--------------------------|---------------|---------------|
| Current income tax       |               |               |
| - Current financial year | <u>70,249</u> | <u>49,609</u> |

The reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate were as follows:

|                                                            | 2025<br>S\$    | 2024<br>S\$     |
|------------------------------------------------------------|----------------|-----------------|
| Profit before income tax                                   | <u>407,358</u> | <u>523,798</u>  |
| Income tax using the statutory tax rate of 17% (2024: 17%) | 69,251         | 89,046          |
| Tax effects of                                             |                |                 |
| - Non-deductible expenses                                  | 8,197          | 474             |
| - Tax incentives and rebates                               | (17,425)       | (18,835)        |
| - Capital allowance claimed for the year                   | (515)          | -               |
| - Other                                                    | <u>10,741</u>  | <u>(21,076)</u> |
|                                                            | <u>70,249</u>  | <u>49,609</u>   |

**14. Significant related party transactions**

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place on terms agreed between the parties during the financial year.

|                                             | 2025<br>S\$      | 2024<br>S\$     |
|---------------------------------------------|------------------|-----------------|
| <i>With related parties</i>                 |                  |                 |
| Fees paid or payable to the Company         | 702,517          | 510,324         |
| Fees paid or payable to the related parties | (1,835,599)      | (1,896,733)     |
| Rendering of services                       | 266,761          | 137,334         |
| Consultancy charges                         | (1,520,178)      | (1,592,078)     |
| Corporate charge income                     | <u>(200,371)</u> | <u>(24,303)</u> |

The related parties are entities in which shareholders and certain directors of the Company are also the shareholders and directors of the entities.

The balances with related parties are expected to be settled in cash, unless otherwise stated.

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**14. Significant related party transactions (continued)**

|                                                 | 2025<br>S\$    | 2024<br>S\$ |
|-------------------------------------------------|----------------|-------------|
| <i>Compensation of key management personnel</i> |                |             |
| Salaries                                        | 128,737        | -           |
| Defined contribution plans                      | 15,191         | -           |
| Commission                                      | 4,688          | -           |
|                                                 | <u>148,616</u> | <u>-</u>    |

Key management personnel are those persons having the authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any director (whether executive or otherwise) of the Company.

**15. Fair values of assets and liabilities**

**(a) Assets and liabilities not measured at fair value**

*Cash and bank balances, other receivables, other payables and amount due from/(to) related parties*

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

*Trade receivables*

The carrying amounts of these balances (including balances with related parties) approximate their fair values as they are subject to normal trade credit terms or are short-term in nature.

**16. Financial risk management**

The Company's activities expose it to a variety of financial risks from its operation. The key financial risks include credit risk, liquidity risk and market risk (including foreign currency risk and interest rate risk).

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial years, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

**Notes to the financial statements**  
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**16. Financial risk management (continued)**

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

**(a) Credit risk**

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade and other receivables. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be high when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 180 days, default of interest due for more than 90 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- (i) Internal credit rating
- (ii) External credit rating
- (iii) Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- (iv) Actual or expected significant changes in the operating results of the debtor
- (v) Significant increases in credit risk on other financial instruments of the same debtor
- (vi) Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 90 days past due in making contractual payment.

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**Notes to the financial statements**  
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**16. Financial risk management (continued)**

**(a) Credit risk (continued)**

The Company determined that its financial assets are credit-impaired when:

- (i) There is significant difficulty of the debtor
- (ii) A breach of contract, such as a default or past due event
- (iii) It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- (iv) There is a disappearance of an active market for that financial asset because of financial difficulty

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 90 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

The Company's current credit risk grading framework comprises the following categories:

| <u>Category</u> | <u>Definition of category</u>                                                                                                        | <u>Basis for recognising expected credit loss (ECL)</u> |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| I               | Counterparty has a low risk of default and does not have any past-due amounts.                                                       | 12-month ECL                                            |
| II              | Amount is 90 days past due or there has been a significant increase in credit risk since initial recognition.                        | Lifetime ECL – not credit-impaired                      |
| III             | Amount is 180 days past due or there is evidence indicating the asset is credit-impaired (in default).                               | Lifetime ECL – credit-impaired                          |
| IV              | There is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery. | Amount is written off                                   |

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

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**16. Financial risk management (continued)**

(a) Credit risk (continued)

|                                             | Note | Category | 12-month or<br>lifetime ECL  | Gross<br>carrying<br>amount | Loss<br>allowance | Net<br>carrying<br>amount |
|---------------------------------------------|------|----------|------------------------------|-----------------------------|-------------------|---------------------------|
| <u>2025</u>                                 |      |          |                              |                             |                   |                           |
| Trade receivables                           | 4    | Note 1   | Lifetime ECL<br>(simplified) | 1,663,270                   | (5,552)           | 1,657,718                 |
| Amount due from<br>related party -<br>trade | 5    | Note 1   | Lifetime ECL<br>(simplified) | 221,984                     | -                 | 221,984                   |
| Other receivables                           | 4    | 1        | 12-month ECL                 | 90,549                      | -                 | 90,549                    |
| Deposits                                    | 4    | 1        | 12-month ECL                 | 11,141                      | -                 | 11,141                    |
|                                             |      |          |                              |                             | <u>(5,552)</u>    |                           |
| <u>2024</u>                                 |      |          |                              |                             |                   |                           |
| Trade receivables                           | 4    | Note 1   | Lifetime ECL<br>(simplified) | 1,491,472                   | (5,552)           | 1,485,920                 |
| Amount due from<br>related party -<br>trade | 5    | Note 1   | Lifetime ECL<br>(simplified) | 89,515                      | -                 | 89,515                    |
| Other receivables                           | 4    | 1        | 12-month ECL                 | 175,136                     | -                 | 175,136                   |
| Deposits                                    | 4    | 1        | 12-month ECL                 | 11,031                      | -                 | 11,031                    |
|                                             |      |          |                              |                             | <u>(5,552)</u>    |                           |

*Exposure to credit risk*

Of the trade receivables balance as at the end of the reporting period, S\$1,057,226 (2024: S\$1,043,859) are due from 3 (2024: 4) customers, the Company's largest customers. There are no other customers who represent more than 5% of the total balance of trade receivables. The Company has credit policies and procedures in place to minimise and mitigate its credit risk exposure.

Other receivables

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.



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**16. Financial risk management (continued)**

**(a) Credit risk**

Deposits

The management assess that there are no material ECL on the deposits.

**(b) Liquidity risk**

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipt cycles. The Company's operations are financed mainly through equity. The directors are satisfied that funds are available to finance the operations of the Company.

The financial liabilities of the Company as at 31 March 2025 and 31 March 2024 are repayable on demand or within 1 year from the reporting date.

**(c) Market risk**

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's profit or loss. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

**(i) Interest rate risk**

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company's profit or loss is not affected by the changes in interest rates as the Company's interest bearing financial liabilities are at fixed rates and are measured at amortised cost.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rates on interest bearing financial instruments at the end of the financial year.

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**16. Financial risk management (continued)**

(c) Market risk (continued)

(ii) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk. The Company ensures that the net exposure is kept to an acceptable level by buying or selling foreign currencies at spot rates, where necessary, to address short term imbalances.

The Company have transactional currency exposures arising from sales or purchases that are denominated in currencies other than the functional currency of the Company, primarily United States dollar (USD), and Malaysian ringgit (MYR).

The Company's currency exposures to USD and MYR at the end of the reporting period were as follows:

|                                 | USD<br>S\$     | MYR<br>S\$      |
|---------------------------------|----------------|-----------------|
| 2025                            |                |                 |
| <u>Financial assets</u>         |                |                 |
| Trade receivables               | 22,696         | -               |
| Amount due from related parties | 79,217         | -               |
|                                 | <u>101,913</u> | <u>-</u>        |
| <u>Financial liabilities</u>    |                |                 |
| Amount due to related parties   | <u>51,188</u>  | <u>63,757</u>   |
| Net currency exposures          | <u>50,725</u>  | <u>(63,757)</u> |
| 2024                            |                |                 |
| <u>Financial assets</u>         |                |                 |
| Trade receivables               | 22,499         | -               |
| Amount due from related parties | 39,677         | -               |
|                                 | <u>62,176</u>  | <u>-</u>        |
| <u>Financial liabilities</u>    |                |                 |
| Other payable and accruals      | 6,140          | -               |
| Amount due to related parties   | 42,712         | 78,347          |
|                                 | <u>48,852</u>  | <u>78,347</u>   |
| Net currency exposures          | <u>13,324</u>  | <u>(78,347)</u> |

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**16. Financial risk management (continued)**

(c) Market risk (continued)

(ii) Foreign currency risk (continued)

A 5% (2024: 5%) strengthening of Singapore dollar against the foreign currencies denominating balances as at the end of the reporting period would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

|                   | Profit or loss<br>(after income tax) |       |
|-------------------|--------------------------------------|-------|
|                   | 2025                                 | 2024  |
|                   | S\$                                  | S\$   |
| US dollar         | (2,105)                              | (553) |
| Malaysian ringgit | 2,646                                | 3,251 |

A 5% (2024: 5%) weakening of Singapore dollar against the above currencies would have had equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

**17. Financial instruments by category**

At the end of the reporting period, the aggregate carrying amounts of financial assets and financial liabilities at amortised cost were as follows:

|                                 | 2025             | 2024             |
|---------------------------------|------------------|------------------|
|                                 | S\$              | S\$              |
| <i>Financial assets</i>         |                  |                  |
| Cash and bank balances          | 2,350,349        | 2,053,150        |
| Trade and other receivables     | 1,759,408        | 1,672,087        |
| Amount due from related parties | 221,984          | 89,515           |
|                                 | <u>4,331,741</u> | <u>3,814,752</u> |
| <i>Financial liabilities</i>    |                  |                  |
| Other payables and accruals     | 407,918          | 692,078          |
| Amount due to related parties   | 137,079          | 136,999          |
|                                 | <u>544,997</u>   | <u>829,077</u>   |

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**18. Capital management**

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprises issued share capital and retained earnings.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the financial years ended 31 March 2025 and 31 March 2024.

**19. Authorisation of financial statements for issue**

The financial statements for the financial year ended 31 March 2025 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 15 July 2025.

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